

# Form 1040

U.S. Individual Income Tax Return | Department of the Treasury — IRS

David Smith | SSN: 677-81-0093 | Tax Year: 2021

Filing Status: **Single**

Address: 3242 ANTHONY KNOLL, PLANO, TX 75024

**Dependents:**

- Kristi Smith (SSN: 739-47-6570) — Daughter
- Susan Smith (SSN: 893-18-7378) — Son

| Line | Description                         | Amount    |
|------|-------------------------------------|-----------|
| 1    | Wages, salaries, tips (W-2)         | \$126,200 |
| 2b   | Taxable interest                    | \$2,004   |
| 3b   | Ordinary dividends                  | \$3,368   |
| 8    | Business income (Schedule C)        | \$101,008 |
| 9    | Total income                        | \$232,581 |
| 10   | Adjustments (½ SE tax deduction)    | \$2,381   |
| 11   | Adjusted Gross Income (AGI)         | \$230,199 |
| 12   | Standard deduction                  | \$12,550  |
| 13   | Qualified business income deduction | \$20,202  |
| 14   | Total deductions                    | \$32,752  |
| 15   | Taxable income                      | \$197,447 |

| Line | Description                       | Amount   |
|------|-----------------------------------|----------|
| 16   | Tax (from tax table / brackets)   | \$44,010 |
| 21   | Total credits                     | \$0      |
| 22   | Tax after credits                 | \$44,010 |
| 23   | Self-employment tax (Schedule SE) | \$4,763  |
| 24   | Total tax                         | \$48,949 |
| 25   | Federal income tax withheld (W-2) | \$20,192 |
| 33   | Total payments                    | \$20,192 |
| 37   | Amount you owe                    | \$28,757 |

# Schedule B — Interest and Ordinary Dividends

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## Part I — Interest

| # | Payer Name            | Amount  |
|---|-----------------------|---------|
| 1 | Patriot National Bank | \$263   |
| 2 | Heritage Savings Bank | \$1,740 |
|   | Total Interest        | \$2,004 |

## Part II — Ordinary Dividends

| # | Payer Name         | Amount  |
|---|--------------------|---------|
| 1 | Vanguard           | \$555   |
| 2 | E*TRADE Securities | \$2,812 |
|   | Total Dividends    | \$3,368 |

# Schedule C — Profit or Loss from Business

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|                    |                                     |
|--------------------|-------------------------------------|
| Business Name      | Digital Marketing Solutions         |
| Principal Business | Advertising Services (Code: 541810) |
| Accounting Method  | Cash                                |

| Line | Description            | Amount    |
|------|------------------------|-----------|
| 1    | Gross receipts         | \$146,400 |
| 7    | Gross income           | \$146,400 |
| 8    | Advertising            | \$3,078   |
| 9    | Car and truck expenses | \$2,565   |
| 15   | Insurance              | \$1,902   |
| 18   | Office expense         | \$3,273   |
| 22   | Supplies               | \$3,354   |
| 25   | Utilities              | \$922     |
| 27a  | Other expenses         | \$30,298  |
| 28   | Total expenses         | \$45,392  |
| 31   | Net profit (or loss)   | \$101,008 |

# Schedule SE — Self-Employment Tax

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| Line | Description                     | Amount    |
|------|---------------------------------|-----------|
| 2    | Net profit from Schedule C      | \$101,008 |
| 3    | Combined SE income              | \$101,008 |
| 4a   | 92.35% of line 3 (SE tax base)  | \$93,280  |
| 12   | Self-employment tax             | \$4,763   |
| 13   | Deductible part of SE tax (50%) | \$2,381   |